

The Daily Grind

Coffee D2C — Pricing Analysis

Findings

1.5% COGS CAGR

The constant 5% increase in unit cost across all individual products and categories imply that the change is likely due to structural causes like raise in tariffs, contractual increase or increased freight costs rather than commodity specific inflation - though this uniformity could also be a result of synthetic data generation process.

2. Seasonal Increase in COGS Every January

In addition to the COGS% increase being the same across products, the period at which the raise occurs is the same as well - January of every year. This again points to the structural cause mentioned above.

3. Stagnant Prices - Margin erosion

While COGS has been increasing visibly, unit selling price for all the products has been flat since 2023. It has led to an evident decline in profit margin from 56.64% in 2023 to 52.43% in 2025.

4. Seasonal Demand Surge during November - December

As expected for coffee D2C, the maximum sales for almost all products occur during December while for Subscription Renewal Service, November has been the best month.

Recommended Products for Price Increase (2025 Profit Margin)

Category - Accessories

1. Gooseneck Electric Kettle has a very thin margin of 25.52% with a retail price of \$34.87. As a highly durable product with very low cost per use, it requires a price revision through value based pricing.

2. Chemex filters (pack of 100) has the lowest margin (12 % Profit margin as of 2025) in the accessories category and the 2nd lowest margin overall (1st being Minimalist Keychain). As an absolute go to brand for specialized bonded paper filters, it definitely requires a slow and gradual increase in price.

Category - Consumables

1. Espresso Bean Sampler Pack with price of \$19.06 has 23% less margin than its category average of 60% . Choosing between odd number pricing (\$19.99) and flat number pricing (\$20) based on the product differentiation from its substitutes may yield better gross profit for the product.

2. Single Origin Ethiopian(250 g) is priced at \$19.49 with a margin of 34.81%, well below its category average. The rarity of single origin beans and the heavy preference for Ethiopian variants among shoppers makes it a product of premium value across the market. Hence, it can tolerate a few dollars of price hike without risking churn rate.

Category - Grinders & Brewers

1. Pour over starter Kit has a very low margin of 28.97 % with a price of \$105.23. Accounting for the price revision of individual components included in the kit (gooseneck kettle, chemex filters and coffee beans) if included - considering this is a synthetic dataset), then the pour over starter kit needs a modified price through bundle pricing strategy.

Category - Merchandise

Minimalist Key Chain and Logo Hoodie (Black) fell 8 percentage points from 2023 Profit Margin and stands at 11.98% and 12.03% margin respectively. Both products have almost the same number of orders and quantities sold as the other products in the merchandise category. The low cost of these products haven't resulted in higher volume of sales. Logo Hoodie also has a reference product Daily Grind TShirt which sells at relatively higher price with a much higher margin of 61.35%.

Hence Logo Hoodie (Black) and Minimalist Key Chain either needs a price adjustment or discontinuation.

Category - Subscriptions

1. Monthly Dark Roast Subscription priced at \$61.26 carries a 42.63% margin which is over 20 pp lower than its average category margin - 63.78%. Raising prices for such a steady income and habitual product significantly boosts the customer lifetime value and in turn maximises income.

While this may trigger cancellation of subscriptions, it is not inevitable given the decreasing margin since 2023. However, employing customised pricing in terms of bean type, origin, quantity and delivery cycle alongside first time discounts and smaller sample packs could help in reducing the churn rate and acquire new customers.

Selection Logic

The products have been suggested for price revision after analysing

- 1.if the other products in the same category can tolerate higher prices & margin
 - 2.if the low price of these products has yielded higher orders and sales volume.
- Where it hasn't, that shows the price needs a modification.

Conclusion

Based on the analysis, price revision for the above-mentioned products is crucial to manage the rising COGS% and restore the margin slowly back to 2023 level .

Overall suggested strategy

1. Value Based Pricing - categorize each product by high vs. low differentiation and price accordingly.
2. Competitive Pricing - necessary given the crowded market and to avoid losing customers to competitors and supermarkets.
3. Basket & Bundle Pricing
 - Increases Average Order Value (AOV) for the Business
 - Simplifies choices for customers and beginners who are looking to build "coffee as a ritual" habit.
 - Works as one stop solutions for cafes and restaurants.